was still paying the 7% dividend and selling at 52 1/2—although the common had passed its dividend and had fallen to 15 5/8.

In this instance the investor was able to participate in the surplus profits of the common stock in good years while maintaining his preferred position, so that, when the bad years came, he lost only his temporary *profit*. Had the issue been convertible instead of participating, the investor could have received the higher dividends only through converting and would later have found the dividend omitted on his common shares and their value fallen far below his original investment.

Participating Issues at Disadvantage, Marketwise. Although from the standpoint of long-pull-investment holding, participating issues are theoretically the most desirable, they may behave somewhat less satisfactorily in a major market upswing than do convertible or subscription-warrant issues. During such a period a participating senior security may regularly sell below its proper comparative price. In the case of Westinghouse Preferred, for example, its price during 1929 was usually from 5 to 10 points lower than that of the common, although its intrinsic value per share could not be less than that of the junior stock.[2]

The reason for this phenomenon is as follows: The price of the common stock is made largely by speculators interested chiefly in quick profits, to secure which they need an active market. The preferred stock, being closely held, is relatively inactive. Consequently the speculators are willing to pay several points more for the inferior common issue simply because it can be bought and sold more readily and because other speculators are likely to be willing to pay more for it also.

The same anomaly arises in the case of closely held common stocks with voting power, compared with the more active nonvoting issue of the same company. American Tobacco *B* and Liggett and Myers Tobacco *B* (both nonvoting) have for years sold higher than the voting stock. A similar situation formerly existed in the two common issues of Bethlehem

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[2] A much greater price discrepancy of this kind existed in the case of White Rock Mineral Springs Participating Preferred and common during 1929 and 1930. Because of this market situation, holders of nearly all the participating preferred shares accepted an offer to exchange into common stock, although this meant no gain in income and the loss of their senior position.